

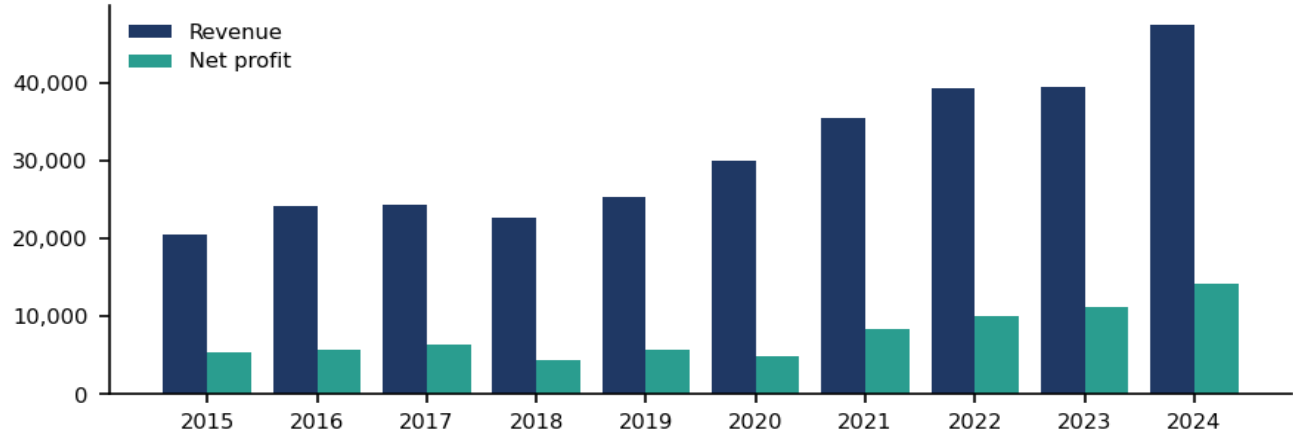
REC Ltd

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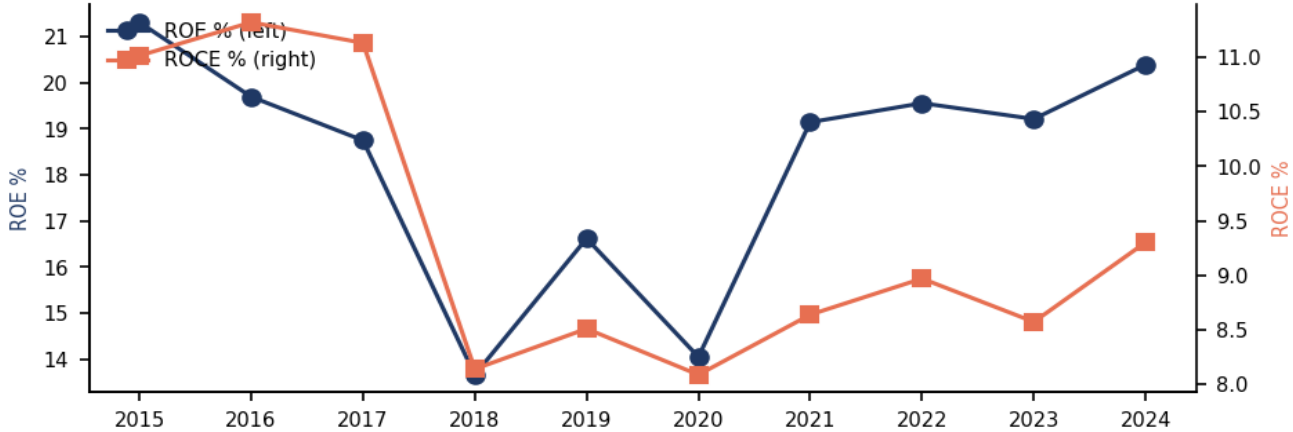
Key figures, financial year 2024

ROE 20.4%	ROCE 9.3%	Net profit margin 29.8%
Debt to equity 6.42	Revenue CAGR 5yr 13.3%	Free cash flow (Rs Cr) -59,554

Revenue and Net Profit (Rs Cr)



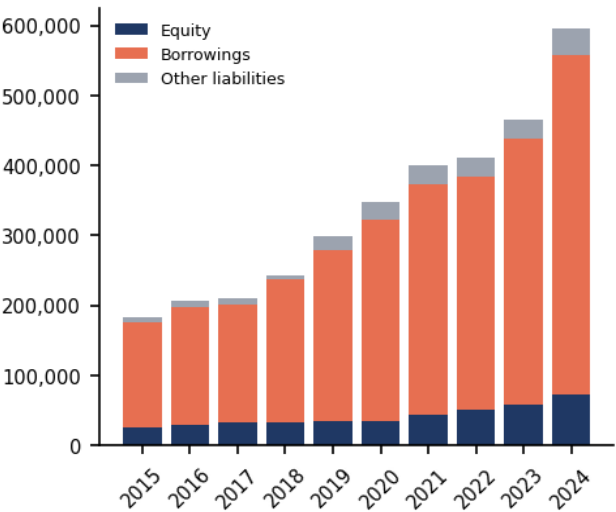
ROE (left axis) and ROCE (right axis)



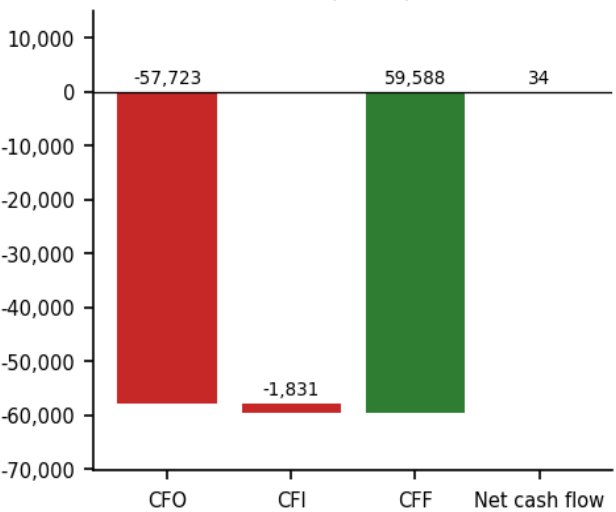
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Balance sheet composition (Rs Cr)



Cash flow, FY2024 (Rs Cr)



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline (100%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (82%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (66%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (100%)

Capital allocation: Growth Funded by Debt

Growth spending is funded by outside financing.

Generated from the Nifty 100 database. Percentages in brackets are the rule confidence. Pros and cons are automatic and are not investment advice. Market data (stock prices, market cap, P/E, P/B) used anywhere in this project is SIMULATED.